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Pentagon Budget Boosts Feed Lockheed Backlog

Defense company reports forecast-beating earnings

By Doug Cameron

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A U.S. Air Force F-35A stealth fighter jet manufactured by Lockheed Martin. SEONGJOON CHO/BLOOMBERG NEWS

Lockheed Martin Corp. LMT **-0.36%** ▼ expects to end the year with a record order backlog of more than \$110 billion, driven by overseas sales and more Pentagon spending.

The world's largest defense company by sales has been a prime beneficiary of Congress boosting Pentagon spending above requests from the White House in an effort to replace worn-out equipment and address an array of threats, including North Korea's nuclear program and military buildups by Russia and China.

Investors have fretted that defense companies weren't translating the buoyant

military budget climate into higher sales and profits, but Lockheed Martin raised its own full-year financial guidance after reporting forecast-beating quarterly earnings.

Chief Executive Marillyn Hewson on Tuesday highlighted additional F-35 combat jets and Thaad missile defense systems requested by Congress during an upbeat investor call that helped reverse an early drop in Lockheed shares.

Lockheed ended the quarter with a backlog of \$105 billion, which it expects to rise with a final agreement on selling another 141 F-35 jets. Lockheed Martin is also contesting two other big Pentagon contracts: an Air Force trainer and a refueling drone for the Navy.

Chief Financial Officer Bruce Tanner said the company had won more contracts in the quarter than it expected, and was already securing sales from the recently enacted 2018 defense budget. Congress granted Lockheed around \$7 billion more in work than requested by the presidential budget, and the company is expected to gain billions more from the 2019 budget being debated by lawmakers.

Shares in U.S. defense companies have seesawed this year, boosted initially by higher Pentagon budgets over the next two years. However, investors remain concerned that federal deficit pressures could hit spending in the early 2020s.

Lockheed shares bounced around and were recently up around 1%, off their session high. They remain around 10% below their February peak.

“The reaction through the day will serve as a referendum on market sentiment toward the defense primes,” said JPMorgan analyst Seth Seifman in a client note.

Boeing Co, Northrop Grumman Corp. and General Dynamics Corp. all report earnings Wednesday.

Export sales have been a key driver for U.S. defense companies, helped in part by efforts by the White House to streamline the process and actively promote products at

high-level diplomatic meetings.

Congress approved almost \$47 billion in arms sales during the first half of the year, some \$5 billion more than in all of 2017. Lockheed's wins include a \$450 million deal to start building frigates for Saudi Arabia and \$1.1 billion to supply Bahrain with 16 F-16 fighter jets.

Lockheed raised the midpoint of its 2018 profit guidance by 6% to a range of \$16.75 to \$17.05 a share, above analysts expectations. It also raised the top end of its sales guidance to \$53.1 billion and lifted the outlook for cash flow by 10% to \$3.3 billion. Mr. Tanner said it is likely to raise guidance for cash in 2019 and 2020 when it reports third-quarter earnings in October.

The company reported profit of \$1.16 billion in the June quarter, with per-share earnings rising to \$4.05, above the \$3.92 consensus among analysts. It took a \$96 million charge in the quarter for severance and restructuring costs, including an unspecified number of job cuts at its Sikorsky helicopter arm. The company said this week that it is adding 400 jobs to boost F-35 production.

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